

**BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.**

20230930-DK-BUTTERFLY-1, INC.,	X	
	:	
Complainant,:		FMC Docket No. 25-01
vs.		
BAL CONTAINER LINE CO., LIMITED	:	
	:	
Respondent.:		
	:	
	X	

ANSWER TO VERIFIED COMPLAINT

Respondent BAL CONTAINER LINE CO., LIMITED (“Respondent” or “BAL”) hereby answers Complainant 20230930-DK-BUTTERFLY-1, INC. (“Complainant”)’s Verified Complaint as follows:

I. INTRODUCTION

1. The allegations in this paragraph constitute legal conclusions to which no response is required. To the extent a response is required, Respondent denies the allegations contained in this paragraph.

2. Admitted as to the first sentence. Admit that Complainant filed a Chapter 11 bankruptcy petition on April 23, 2023, but deny all of the remaining allegations in this paragraph.

3. Denied.

4. Denied.

5. Denied.

6. Denied.

7. Denied.

8. The allegations in this paragraph constitute legal conclusions to which no response is required. To the extent a response is required, Respondent denies the allegations contained in this paragraph.

II. THE COMPLAINANT

9. BAL lacks sufficient information to admit or deny the allegations in this paragraph.

III. THE RESPONDENT

10. Admitted.

IV. JURISDICTION AND LEGAL AUTHORITY

11. The allegations in this paragraph constitute legal conclusions to which no response is required. To the extent a response is required, Respondent denies the allegations contained in this paragraph.

12. The allegations in this paragraph constitute legal conclusions to which no response is required.

13. The allegations in this paragraph constitute legal conclusions to which no response is required. To the extent a response is required, Respondent denies the allegations contained in this paragraph.

14. The allegations in this paragraph constitute legal conclusions to which no response is required. To the extent a response is required, Respondent denies the allegations contained in this paragraph.

V. THE MATTERS COMPLAINED OF (ALLEGED FACTS)

15. BAL lacks sufficient information to admit or deny the allegations in this paragraph.

16. Denied.

17. Admitted.

18. Admitted as to the first sentence. Denied as to the second sentence. BAL lacks sufficient information to admit or deny the third sentence.

19. BAL lacks sufficient information to admit or deny the allegations in this paragraph.

20. BAL lacks sufficient information to admit or deny the allegations in this paragraph.

21. Denied.

22. BAL lacks sufficient information to admit or deny the allegations in this paragraph.

23. BAL lacks sufficient information to admit or deny the allegations in this paragraph.

24. BAL lacks sufficient information to admit or deny the allegations in this paragraph.

25. BAL lacks sufficient information to admit or deny the allegations in this paragraph.

26. Denied as to lines 1 and 2. BAL lacks sufficient information to admit or deny the remaining allegations in this paragraph.

27. Admitted.

28. Admitted.

29. Denied.

30. Denied.

31. Denied.

32. Denied.

33. Denied.

VI. CAUSES OF ACTION

34. BAL repeats and realleges paragraphs 1 through 33 of this Answer in response to paragraph 34 of the Complaint.

35. The allegations in this paragraph constitute legal conclusions to which no response is required. To the extent a response is required, Respondent denies the allegations contained in this paragraph.

36. The allegations in this paragraph constitute legal conclusions to which no response is required. To the extent a response is required, Respondent denies the allegations contained in this paragraph.

37. BAL repeats and realleges paragraphs 1 through 36 of this Answer in response to paragraph 37 of the Complaint.

38. The allegations in this paragraph constitute legal conclusions to which no response is required. To the extent a response is required, Respondent denies the allegations contained in this paragraph.

VII. CAUSATION

39. The allegations in this paragraph constitute legal conclusions to which no response is required. To the extent a response is required, Respondent denies the allegations contained in this paragraph.

40. Denied.

VIII. REPARATIONS SOUGHT

41. Denied.

42. Denied.

AFFIRMATIVE DEFENSES

1. Complainant fails to state a claim for which relief can be granted.
2. Complainant lacks standing to bring the Complaint and seek the relief requested.
3. Complainant's claims are barred, limited and/or otherwise subject to the provisions contained in the bills of lading, tariffs, and /or service contracts governing the shipments which are the subject of the Complaint.
4. Complainant's claims are barred by the applicable statute of limitations, the contractual terms between the parties and/or the doctrine of laches.
5. Complainant's claims and causes of action are barred in whole or in part by the doctrines of waiver and/or estoppel.
6. Complainant's claims are barred or the damages, if any, are to be reduced by virtue of the doctrine of assumption of risk and/or comparative negligence.
7. Complainant failed to take reasonable steps to mitigate its damages.

8. If Complainant was damaged as alleged, which is denied, the damages were caused in whole or in part by an intervening and/or superseding cause for which Respondent is not liable.
9. Complainant's alleged damages, which are denied, resulted from circumstances and conditions beyond the control of Respondent.
10. Complainant's alleged damages were caused by Restraints of Princes, Acts of God, and/or *Force Majeure*, and Respondents thus have no liability for Complainant's alleged damages.
11. Respondent's conduct, practices, and policies were neither unjust nor unreasonable.
12. Respondent's conduct, practices, and policies were not the proximate cause of Complainant's alleged injuries.
13. Respondent did not commit any Shipping Act violations and are thus not liable to Complainant on the causes of action alleged in the Complaint.
14. Respondent violated no legal duties owing to Complainant.
15. The Complaint fails to allege the essential elements of the Shipping Act, including 46 U.S.C. §§ 41102(c), 41104(a)(10), and 46 C.F.R. § 545.5.

RESERVATIONS OF RIGHTS

Respondent does not waive and expressly reserve the right to amend this Answer and to plead any additional affirmative defenses and to bring third-party claims as the facts may warrant.

REQUEST FOR ORAL HEARING

Respondent respectfully requests an oral hearing in Washington, D.C.

Respectfully submitted this 10th day of February, 2025.

KEESAL, YOUNG & LOGAN



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Attorneys for Respondent

BAL CONTAINER LINE CO., LIMITED

VERIFICATION

VERIFICATION OF RESPONDENT BAL CONTAINER LINE CO., LIMITED

I, Liu Qingzhi, hereby verify as follows:

1. I am the director of BAL Container Line Co., Limited.
2. I am duly authorized to make this verification on behalf of BAL Container Line Co., Limited.
3. I declare under penalty of perjury under the laws of the United States that the foregoing answer is true and correct to the best of my knowledge, information, and belief.

Dated: February 7, 2025



Liu Qingzhi

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 10th day of February, 2025, a true and correct copy of the foregoing Respondent BAL Container Line Co., Limited's Answer was served via electronic mail on:

Karl C. Huth	huth@huthreynolds.com
Matthew J. Reynolds	reynolds@huthreynolds.com
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Maria Celina M. Schilt